

Woodgreen Place Commercial Contract

Due Diligence Conversation Summary

Prepared from ChatGPT conversation - May 2026

Note: This is a practical business due diligence summary, not legal advice. Confirm notice requirements and deadlines with the closing attorney or your lawyer before relying on them.

1. Due Diligence Deadline Based on Contract

Based on the contract reviewed: **the Effective Date is April 18, 2026**, because that is when the last necessary party signed. Richard McCraw signed April 18, 2026 at 2:07 PM CDT. The contract states the Effective Date is the date the last necessary party signs, and the due diligence/inspection period is 30 days following the Effective Date.

Clean reading: The 30-day due diligence period ends Monday, May 18, 2026. Because the contract defines the Effective Date by date, not exact timestamp, the cleaner reading is 11:59 PM Central Time on Monday, May 18, 2026.

Conservative/safest deadline: Send any written cancellation notice before 2:07 PM Central Time on Monday, May 18, 2026, to avoid any argument that 30 days runs from the exact time the seller signed.

2. Cancellation Notice - Practical Takeaway

Yes - to be safest, send written notice canceling the contract before 2:07 PM Central Time on Monday, May 18, 2026.

The contract allows Buyer to cancel during the Inspection Period by written notice to Seller, delivered as other notices under the Agreement, if Buyer determines in Buyer's sole discretion that the property is not suitable.

Important notice point: An email should work only if email is listed as a permitted notice method with the seller's email address filled in, or if later written communications clearly establish the proper notice email. In the copy reviewed, the notice section appeared blank, so do not rely only on an informal email if avoidable.

3. Recommended Delivery Steps for Cancellation Notice

- Send an email before 2:07 PM CDT on May 18 to the seller and anyone representing the seller.
- Also send it to the closing attorney, David Ash / Aspen Law Group, since the special provisions name him as closing attorney.
- Request written confirmation of receipt.
- Consider sending the same notice by another allowed method, such as certified mail, overnight carrier, or hand delivery, if there is any concern about notice formalities.

4. Simple Cancellation Email Template

Subject: Notice of Cancellation During Inspection Period

Seller,

Pursuant to Section 5(B) of the Contract for the Sale and Purchase of Improved Commercial Real Estate for 25 Woodgreen Place, Madison, MS, Buyer hereby gives written notice that Buyer is canceling the transaction during the Inspection Period because Buyer has determined, in Buyer's sole discretion, that the Property is not suitable for Buyer's intended use.

Please confirm receipt of this notice. Buyer also requests return of the earnest money deposit in accordance with the Contract.

Thank you,
Tyler Raborn

5. Due Diligence Ask-List for Owner Meeting

Building plans / physical property

- Floor plans / as-builts, even if old
- Site plan showing parking, entrances, drainage, utilities, setbacks, etc.
- Survey, legal description, building square footage breakdown
- Per-suite square footage, rentable vs. usable square feet, and common area factor if any
- Roof age and warranty
- HVAC unit list, age, tonnage, and service history
- Electrical panels/capacity, plumbing history, fire alarm/sprinkler status
- Recent capital improvements and known deferred maintenance
- Open insurance claims or prior casualty damage
- Environmental reports, including Phase I ESA if one exists
- ADA compliance issues, especially entrances, bathrooms, parking, and signage
- Parking count and parking ratio
- Drainage/flooding history
- Pest, mold, moisture, or foundation issues

Rent roll / tenant information

- Current rent roll showing tenant name, suite, square footage, lease start/expiration, monthly rent, rent per square foot, CAM/NNN charges, deposits, renewal options, guarantees, delinquencies, concessions, side agreements, and month-to-month tenants
- Are all tenants current?
- Any tenants planning to leave or asking for rent reduction?
- Any tenants wanting more space?
- Any below-market or above-market leases?
- Any verbal promises, disputes, exclusive-use rights, purchase options, or rights of first refusal?

Leases and lease economics

- All current leases, amendments, addenda, renewal notices, and tenant estoppels if available
- Any equipment leases, service contracts, or property management agreement

- Whether each lease is gross, modified gross, or NNN
- Who pays taxes, insurance, utilities, HVAC repair/replacement, interior maintenance, roof, and structure
- Whether CAM charges are reconciled annually
- Whether rent increases are fixed, CPI-based, or flat
- Renewal options at preset rents and any termination rights

Financials

- Trailing 12-month profit and loss statement
- 2023, 2024, 2025 year-end P&Ls
- 2026 year-to-date P&L
- General ledger detail if available
- Property tax bills
- Insurance declaration pages and premiums
- Utility bills for the last 12-24 months
- Repairs and maintenance detail
- CAM/expense reimbursement history
- Rent collection ledger
- Bank deposit/rent receipts if needed to verify collections
- Schedule of capital expenditures
- Current accounts receivable from tenants
- Prepaid rent and security deposit ledger

NOI / valuation questions

- What is the current NOI and how is it calculated?
- Are any owner expenses excluded?
- Are reserves included for roof, HVAC, parking lot, etc.?
- What rent is below market and could be raised at renewal?
- What vacancy assumption would seller use?
- What cap rate does seller believe is fair?
- Has the property been appraised recently or received a broker opinion of value?
- What debt is currently on the property, if any?

Tenant quality / relationships

- Which tenants are strongest and riskiest?
- Which tenants have been there longest?
- Are any tenants affiliated with seller or not arm's-length?
- Have any tenants verbally said they may leave?
- What tenant feedback has seller received about the property?
- Any problem tenants, unpaid balances, or payment plans?
- Can buyer speak with tenants later in diligence or obtain tenant estoppels before closing?

Zoning, use, expansion, and upside

- Current zoning classification and permitted uses
- Any variances, special exceptions, restrictions, covenants, or POA obligations

- Could another building be added?
- Could the property be subdivided or condoed?
- Could uses be converted?
- Are there parking, signage, or utility restrictions?
- Has seller ever explored development of excess land?

Title, survey, easements, and access

- Any easements, shared driveways, shared parking agreements, or reciprocal access agreements
- Any encroachments or neighbor disputes
- Any restrictions, covenants, or POA obligations
- Any utility easements that limit expansion
- Any known title issues

Utilities and service infrastructure

- City sewer or septic? City water or well?
- Any grease traps, gas service, and electrical capacity limitations?
- Separate meters by tenant or landlord-paid?
- Internet/fiber availability
- Dumpster/waste contract
- Stormwater drainage system
- Any lift stations, pumps, retention ponds, or drainage easements

Insurance and risk

- Current insurance policy/declarations page
- Premium history and claims history
- Flood zone information
- Any lender-required coverage, exclusions, or special risk issues
- Any prior roof, water, fire, storm, or liability claims

Taxes and reassessment risk

- Current assessed value and annual property taxes
- Any tax exemptions, abatements, pending reassessment, special assessments, TIF, district, or local charges
- What seller believes taxes will reset to after sale

Service contracts and operating obligations

- Landscaping, janitorial, HVAC maintenance, pest control, fire alarm monitoring, security, trash, elevator maintenance, property management, equipment leases, and other contracts
- Which contracts are cancellable or must be assumed?
- Are any with related parties, prepaid, or unusually expensive?

Seller motivation and history

- Why are you selling?
- How long have you owned it?
- What has gone well and what has been frustrating?
- What would you do differently if you kept it?

- What is the easiest upside for a new owner?
- What is the biggest hidden headache?
- Have you had other offers?
- Did anything come up in prior buyer diligence?
- Is there anything you would want to know if you were in my shoes?

Closing / transition items

- Will seller help with tenant introductions?
- Will seller provide tenant estoppels and assign leases at closing?
- Will seller transfer security deposits?
- Will seller provide keys, codes, warranties, vendor contacts, and rent proration schedule?
- Will seller certify there are no side agreements?
- Will seller cooperate with lender/appraiser inspections and allow contractor/inspector access before due diligence ends?

6. Top 10 Questions to Ask the Owner In Person

1. What is the actual current NOI, and how are you calculating it?
2. Can I get the full rent roll and all leases?
3. Are any tenants behind, leaving, or paying below market?
4. What expenses are landlord-paid versus tenant-paid?
5. What major repairs would you expect over the next 5 years?
6. How old are the roof and HVAC units?
7. Are there any drainage, water, mold, foundation, or roof issues?
8. Are there any easements, restrictions, or parking issues?
9. Are utilities separately metered?
10. What would worry you most if you were buying this building today?

7. Core Documents Not to Let Diligence Expire Without

- Leases
- Current rent roll
- Trailing 12-month financials
- Tax and insurance numbers
- Physical inspection / building systems review